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Payment Life Cycle

Learn about Transaction Fraud for PSPs' payment life cycle and understand what happens in each payment's stage.

1. The customer uses a card or payment app to purchase a product in the merchant's physical or online store.
2. The merchant processes the order.
3. The transaction is redirected to the Payment Service Provider (e.g. Adyen, Stripe).
4. The Payment Service Provider (PSP) calls Feedzai's Payments API to score the transaction.



Info and Merchant Provisioning endpoints

The PSP calls Feedzai's Payment API by invoking the *Payment* endpoint. Alternatively, the PSP can send the transaction through the *Info* endpoint in case they don't want to request a scoring.

Before a new merchant's first payment, you must invoke the *Merchant Provisioning* endpoint to add the new merchant entity to Feedzai.

5. Feedzai's risk engine processes and scores the transaction in real time, and sends the recommendation (Approve/Decline) to the PSP.
6. The PSP makes an automated decision based on the risk engine recommendation.
7. The PSP processes the payment if the transaction is approved. Note that, if the transaction is declined by the PSP, the `decline` communication is sent to the merchant (jump to step 10).



Info and Feedback endpoints

The PSP should invoke Feedzai's *Info* endpoint to communicate a different decision from Feedzai's risk engine recommendation (`do_not_honor`).

The PSP can also invoke the *Feedback* endpoint to notify Feedzai about a fraudulent transaction.

8. The processed payment is redirected to the acquirer/network, and ultimately reaches the issuer bank.
9. The PSP receives the notification that the acquirer/network and issuer bank authorized the transaction.



Declined *Infos*

Declined *Infos* are mandatory. By default, Feedzai assumes the payment is approved, unless it receives an *Info* saying it was declined. To ensure metrics are accurate, Feedzai must receive an *Info* on every `decline` event - regardless of who influenced the declining decision (i.e. the issuer bank, Feedzai, the PSP, etc).



Approved *Infos*

Approved *Infos* are optional and do not count for metrics, as they only add context for analysts (e.g. `do_not_hon` or `or`). Feedzai recommends not to send *Infos* for approved payments to minimize the number of events.

10. The merchant receives an `approve` message. Note that if, in step 7, the PSP rejects the transaction, the merchant receives a `decline` message.
11. If the transaction has been approved, the merchant accepts the order and the customer receives the product.
12. Later, funds are settled between the PSP and the merchant.



Settlement endpoint

Settlement events provide information about money moves and not fraud insights. They provide analysts with context, and are only a requirement for compliance use cases, such as Anti-Money Laundering. The Transaction Fraud for PSPs' standard integration does not send settlements.

13. Fraud analysts review alerted transactions (see step 5) at any time as a post-mortem analysis to provide feedback on fraud/not fraud decisions and improve scoring of subsequent transactions.